

FREE 8-PAGE SAMPLE

Horse Racing Wagering

Pools, Prices, Probability and Bankroll

Where the price comes from. What the operator keeps.
Which bets are worth making, and how to size them.

INSIDE THIS SAMPLE

How a pari-mutuel pool sets the price

What takeout really costs you

Why boxing an exotic is usually wrong

Building a fair-odds line

A sample of the 53-page reference guide

thehorsehq.com/wagering-guide



THE SAMPLE

What you are holding

This is a short extract from a 53-page reference on horse racing wagering. The pages that follow are lifted from it unaltered — four passages chosen because they are the ones that change how people bet, not the ones that are easiest to excerpt.

53 pages	15 chapters	24 worked examples	22 tables	43 glossary terms
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What the full guide covers

Part	Chapters	What you get
I — The Market	Pari-mutuel pools; takeout and breakage; fixed odds, exchanges and tote compared	Where the price actually comes from, what it costs you before you have picked a horse, and why the same bet is three different products in three different markets.
II — The Bets	Straight wagers and each-way; vertical exotics; horizontal exotics	Every wager on the menu with its cost formula — boxes, keys, part-wheels, Pick 3 through Pick 6 — and when each one is the right instrument for an opinion.
III — The Work	Past performances; speed and pace; class and form; value; staking; records; the modern pool; common errors; regulation	Forming an opinion, pricing it against the market, sizing the bet, and keeping records honest enough to tell you whether any of it is working.
IV — Reference	Glossary; odds conversion; deduction scales and ticket costs; a race worked end to end	The pages you will actually keep open: Rule 4 deductions, each-way terms, box and part-wheel costs, and one race taken from first read to final log entry.

WHO THIS IS FOR

Anyone who has stood in front of a tote board and not been entirely sure what the numbers meant. It assumes you can tell a horse from a hurdle and nothing else.

It is not a tipping service, a system, or a promise. No sequence of bets described in it has a guaranteed positive expectation, and several are explained precisely so you can recognise why they are bad.

EXTRACT 1 · CHAPTERS 1 AND 2

Nobody at the track is betting against you

In a pari-mutuel market there is no bookmaker taking a position. Every wager of a given type on a given race goes into a common pool. When the race is official, the operator removes a fixed percentage — the takeout — and divides what remains among the winning tickets in proportion to their stake. The odds you see before the race are not a price offered to you by anyone. They are a running estimate of what the pool will pay if betting stops at that instant.

Two consequences follow immediately. First, your opponents are the other bettors, not the house. The house is indifferent to which horse wins; it takes its percentage either way. To profit you do not need to predict winners — you need to disagree with the crowd, correctly, often enough to overcome the takeout. Second, your own money moves the price. Backing a 20/1 shot with a large enough stake makes it a 12/1 shot, and you get the 12/1.

WIN PAYOUT FORMULA

net pool

payout per \$1

payout per \$2

odds to \$1

= w x (1 - t)

= net pool / w

= 2 x net pool / w

= (net pool / w) - 1

<- the posted figure

then apply breakage: round the \$2 payout DOWN
to the nearest \$0.10 (or \$0.20 at some tracks).

Note that the posted \$2 payout includes the return of your \$2 stake, whereas the posted odds exclude it. A horse showing 3/1 pays \$8.00 for \$2: six dollars of profit plus the two you staked. Confusing the two is the most common beginner error at the window, and it makes every value calculation come out wrong by exactly one unit.

What it costs before you have picked a horse

Every pari-mutuel bet is made into a pool from which a percentage has already been promised to someone else. A 20% takeout means that for every \$100 wagered into that pool, \$80 comes back to bettors collectively. To break even you must be 25% better than the crowd — not 20%, because you need \$100 back out of the \$80 the pool returns.

BANKROLL DECAY WITH NO EDGE, \$100 START

Races played	16% takeout	20% takeout	25% takeout
1	\$84.00	\$80.00	\$75.00
3	\$59.27	\$51.20	\$42.19
5	\$41.82	\$32.77	\$23.73
8	\$24.79	\$16.78	\$10.01
10	\$17.49	\$10.74	\$5.63

This assumes an average bettor with zero skill edge who
recycles the entire returned amount into the next race.

“Your handicapping has to beat the crowd by more than the takeout before you win a penny, so the cheapest way to improve your results is to bet less often, into cheaper pools — none of which requires you to become a better judge of a horse.”

→ **Continues in the full guide:** the full takeout schedule by pool type, breakage, rebates and effective takeout (Chapter 2), and how fixed odds, exchanges and the tote differ (Chapter 3).

EXTRACT 2 · CHAPTER 5

The box is usually the wrong ticket

A box says every ordering of your horses is equally likely. You almost never believe that. If you have separated four horses well enough to isolate them from the field, you certainly have an opinion about which is most likely to win — and a box spends equal money on the combinations where your best horse runs fourth.

The alternative is a structured part-wheel that spends most on your opinion and a little on the ways you might be wrong. Suppose you have separated a field into three groups: **A** is your single best horse (#5); **B** are two horses you rate close behind (#2, #9); **C** are three you think can hit the board but not win (#1, #4, #11).

PART-WHEEL: A / A+B / A+B+C, TRIFECTA AT \$1

1st position: 5 (1 horse)
 2nd position: 2, 9 (2 horses)
 3rd position: 2, 9, 1, 4, 11 (5 horses)

Combinations = $1 \times 2 \times 5 = 10$, MINUS the 2 combinations where the same horse would occupy both 2nd and 3rd.

5-2-2 (invalid), 5-9-9 (invalid)

Valid tickets = $1 \times 2 \times 5 - 2 = 8$ -> cost \$8

Compare: a 6-horse trifecta box covering the same runners
 $= 6 \times 5 \times 4 = 120$ combinations = \$120.

The part-wheel is 15x cheaper. It gives up the outcomes in which #5 fails to win -- which you already said was unlikely -- plus the 12 in which #5 wins but a C horse runs second.

That is the whole idea behind ticket construction: the shape of the bet should match the shape of the opinion. Most tote systems compute the deduplication for you and quote the true ticket cost before you confirm. Always read that number back before pressing accept — a mis-entered wheel is the classic way to turn an intended \$8 bet into an \$800 one.

→ **Continues in the full guide:** cost formulas for every box, key and part-wheel up to the Super High Five (Chapter 5), and the same logic applied to Pick 4s, Pick 5s and Pick 6s (Chapter 6).

EXTRACT 3 · CHAPTER 10

You are not looking for winners

The central discipline is a fair-odds line: your own estimate, made before you look at the board, of each horse's probability of winning. Comparing that line to the market is the only defensible reason to place a wager.

Handicap the race with the odds hidden — this is not optional, because once you have seen that a horse is 5/2 you cannot un-see it. Assign each runner a probability. Make them sum to 100%: they will not on the first pass, and this step alone catches an enormous amount of sloppy thinking. Convert each probability to fair odds using $(1 - p)/p$. Only then look at the board.

A COMPLETED LINE FOR AN EIGHT-RUNNER HANDICAP

Horse	My %	My fair odds	Board	Verdict
Ashgrove	28%	5/2	2/1	UNDERLAY - no bet
Ninebarrow	20%	4/1	6/1	OVERLAY - bet
Cranmere	16%	5/1	9/2	underlay - no bet
Saltmarsh	12%	7/1	11/1	OVERLAY - bet
Bell Heather	9%	10/1	8/1	underlay - no bet
Winterditch	7%	13/1	20/1	OVERLAY - bet
Owlpen	5%	19/1	16/1	underlay - no bet
Redmire	3%	32/1	50/1	overlay - too small to matter

	100%			

Three bets, applying a 25% margin over fair odds. Note that the horse I rate MOST likely to win is not one of them -- that is the discipline working.

“A 28% chance at 2/1 is a bad bet. A 7% chance at 20/1 is a good one. You will lose the second bet more than nine times in ten and it will still be the correct wager.”

Your opinion about which horse will win and your decision about which horse to back are different questions, and confusing them is the defining error of the recreational bettor. The market's implied probabilities, stripped of takeout, are a very good forecast — which means most of the time your line will be worse. The correct response is not to abandon the exercise but to bet rarely: on the small number of races where you have a specific, articulable reason to believe the crowd has missed something.

→ **Continues in the full guide:** expected value, the Kelly criterion and fractional staking (Chapters 10 and 11), and how to test whether your probability estimates are calibrated at all (Chapter 12).

EXTRACT 4 · CHAPTER 4 AND APPENDIX C

The reference pages you will keep open

Roughly a quarter of the guide is reference material: the tables you consult under time pressure rather than read once. Two short samples follow.

Each-way place terms

An each-way bet is not one bet with a safety net. It is two bets of equal stake, settled independently: the win half at the full odds, and the place half at a fraction of those odds. Saying '£10 each-way' means you are staking £20.

Race and field size	Places paid	Place odds
2 to 4 runners	Win only — no each-way betting	—
5 to 7 runners	1st and 2nd	1/4 of the win odds
8 or more runners (non-handicap)	1st, 2nd, 3rd	1/5 of the win odds
8 to 11 runners (handicap)	1st, 2nd, 3rd	1/5 of the win odds
12 to 15 runners (handicap)	1st, 2nd, 3rd	1/4 of the win odds
16 or more runners (handicap)	1st, 2nd, 3rd, 4th	1/4 of the win odds

Rule 4 deductions, in part

When a horse is withdrawn before coming under starter's orders, a deduction is applied to winnings on bets struck beforehand. The shorter the withdrawn horse was, the more the remaining field's chances improve, and the larger the deduction. The full nineteen-band scale is in Appendix C; here are six of them.

Odds of withdrawn horse	Deduction from winnings
1/9 or shorter	90p in the pound
4/5 to 4/6	55p
6/4 to 5/4	40p
3/1 to 12/5	25p
9/1 to 6/1	10p
Longer than 14/1	No deduction

→ **Continues in the full guide:** the complete Rule 4 scale, a full odds-conversion table, box and multi-race ticket costs, every pool payout formula collected on one page, and a 43-term glossary (Appendices A to C).

That was eight pages of 53.

The rest covers reading past performances line by line, speed figures and pace scenarios, class and form cycles, bankroll and staking, record keeping and closing line value, who else is in the pool with you, and one race worked from first read to final log entry.

DOWNLOAD THE FULL GUIDE

thehorsehq.com/wagering-guide

Free. No email required. August 2026.

Most people who bet on horse racing lose money over time, and this is a mathematical consequence of takeout rather than a failure of effort or intelligence. Treat the money you bet as the price of an absorbing pastime, and any profit as a pleasant surprise.

18+ only. If betting stops being fun, stop. Free, confidential support is available in every regulated market — in Britain from GamCare and the National Gambling Helpline, in the United States from the National Problem Gambling Helpline.